

Foreign Relations of the
United States, 1945–1950

Emergence of the Intelligence Establishment

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Preface

The *Foreign Relations of the United States* series presents the official documentary historical record of major foreign policy decisions and significant diplomatic activity of the United States Government. The series documents the facts and events that contributed to the formulation of policies and includes evidence of supporting and alternative views to the policy positions ultimately adopted.

The Historian of the Department of State is charged with the responsibility for the preparation of the *Foreign Relations* series. The staff of the Office of the Historian, Bureau of Public Affairs, plans, researches, compiles, and edits the volumes in the series. This documentary editing proceeds in full accord with the generally accepted standards of historical scholarship. Official regulations codifying specific standards for the selection and editing of documents for the series were first promulgated by Secretary of State Frank B. Kellogg on March 26, 1925. These regulations, with minor modifications, guided the series through 1991.

A new statutory charter for the preparation of the series was established by Public Law 102–138, the Foreign Relations Authorization Act, Fiscal Years 1992 and 1993, which was signed by President George Bush on October 28, 1991. Section 198 of P.L. 102–138 added a new Title IV to the Department of State's Basic Authorities Act of 1956 (22 USC 4351, *et seq.*).

The statute requires that the *Foreign Relations* series be a thorough, accurate, and reliable record of major United States foreign policy decisions and significant United States diplomatic activity. The volumes of the series should include all records needed to provide comprehensive documentation of major foreign policy decisions and actions of the United States Government, including facts that contributed to the formulation of policies and records that provided supporting and alternative views to the policy positions ultimately adopted.

The statute confirms the editing principles established by Secretary Kellogg: the *Foreign Relations* series is guided by the principles of historical objectivity and accuracy; records should not be altered or deletions made without indicating in the published text that a deletion has been made; the published record should omit no facts that were of major importance in reaching a decision; and nothing should be omitted for the purposes of concealing a defect in policy. The statute also requires that the *Foreign Relations* series be published not more than 30 years after the events recorded.

The editors of this volume, which was completed in 1991, are convinced that it meets all regulatory, statutory, and scholarly standards of selection and editing.

Scope and Design of This Volume and Its Relationship to the Foreign Relations Series

By the beginning of the 1980s a significant amount of previously highly classified information about wartime and post-war intelligence activities of the United States Government had been disclosed in formal testimony to the Congress or in unofficial books and articles by individuals with varying degrees of knowledge and access to the record and experience of the intelligence community. It became apparent to the editors of the *Foreign Relations* series that intelligence institutions and operations became an increasingly important element in the formulation and execution of American foreign policy in the administration of President Truman and in succeeding Presidential administrations. Nearly all of more than 50 volumes documenting the foreign policies of the Truman administration had been researched, declassified, and published by the early 1980s. Only scattered bits of the record of the impact of intelligence on policymaking and execution had been included in these volumes. Nearly all of that material came from the papers preserved at the Harry S. Truman Presidential Library and the copies of papers submitted to or emerging from the National Security Council and available to official historians at the Department of State and other government agencies. Access, which was severely limited, did not, in any case, guarantee inclusion of selected documents in the *Foreign Relations* volumes as many sensitive issues remained undeclassifiable. The lack of understanding of the record of intelligence operations, analysis, and clandestine activities combined with the special information security protections for these records severely handicapped the compilers of the *Foreign Relations* volumes of the Truman years.

Recognition by the editors of the *Foreign Relations* series of the important gaps in the published volumes coincided with a steady slippage beyond the 30-year line in publishing the 75 or more volumes documenting the foreign policy record of President Eisenhower. The notion of a *Foreign Relations* retrospective volume to publish important documents not available or declassifiable at the time of original publication arose at this time. The Foreign Relations Advisory Committee, which was established by the Department of State in 1955 and met annually, periodically considered with general favor such a supplementary volume as a possible method of gathering and disclosing important documents not included in earlier volumes.

By the mid 1980s the editors of the *Foreign Relations* series decided to explore the possibility of a retrospective volume for the Truman administration or some portion of that period. As a first step the editors aimed at

a volume that would document the institutional foundations of the interrelationship between foreign policy and intelligence. Preliminary research indicated that a significant segment of the important, high-level record of this aspect of intelligence activities was already available or could probably be declassified. Such a volume could lay the groundwork for subsequent volumes on substantive issues, if declassification became possible.

During the mid and late 1980s, research went forward slowly on the proposed 1,000-page volume on the institutional foundations of foreign policy and intelligence through 1950. Initial research by staff members of the Office of the Historian was expanded and completed by C. Thomas Thorne, Jr., a retired Deputy Director of the Department of State's Bureau of Intelligence and Research. The CIA History Staff, headed by Dr. J. Kenneth McDonald, provided important cooperation. More than 1,000 documents from the CIA and from CIA records accessioned by the National Archives and Records Administration were collected during the initial research. In light of the large quantity of documentation available the editors decided to confine this volume to the major aspects of the organization of the high-level administration of intelligence in 1945–1950. These were more clearly the formative years of the intelligence institutions and their relationships to the Department of State. As it emerged, therefore, the project appeared to be manageable and clearly focused and one that would provide the *Foreign Relations* series with an appropriate initial retrospective volume.

This volume confronted the editors with unprecedented documentary editing challenges. The documents used to compile this volume were special and unique by *Foreign Relations* standards. Rather than diplomatic correspondence or the record of negotiations and formulation of foreign policy decisions, the editors compiled a record of high-level governmental plans, discussions, administrative decisions, and managerial actions that established institutions and procedures for the central coordination of intelligence collection and analysis and covert action. Although the proposals and efforts of the leaders of the Department of State influenced the emergent central intelligence institutions, much of the record included in this volume documents the advice, actions, and initiatives of principals and groups in other departments and agencies, all of whom helped to lay the foundations for the new centralized intelligence bureaucracy. The editors adopted a generally chronological approach to the presentation of the documents but organized the volume into separate, topical chapters. Each chapter is preceded by an introductory essay that seeks to explain the documents included and place them in a broader historical context. These chapter introductions cite unpublished records as well as published sources and narrative texts.

In preparing this volume the editors sought to limit their selection of documents to those dealing with the planning and establishment of national intelligence coordination and national intelligence policies. The editors did not seek to document the planning and implementation of specific intelligence operations or the impact of intelligence appraisals upon particular foreign affairs policymaking or negotiations. Intelligence reports, estimates, and analyses dealing with particular regions, countries, or issues have not been included.

The preparation of this volume raised special compiling problems for the editors of the *Foreign Relations* series. The collection of the organizational planning documents and the records of the administration of early postwar intelligence activities was particularly difficult. Many of the relevant records appear to have been destroyed or are widely scattered in various agency archival holdings. More than the usual number of original documents were found to be missing or impossible to locate because of the repeated and rapid shifting of various intelligence functions among organizations. The high security level of these records also frustrated research. It also became clear to the editors that some of the most important decisions were made without written records having been kept.

The selection and editing of this volume was completed in November 1991. The editors are convinced that this volume presents a full and comprehensive documentary record of the planning and inauguration of central governmental institutions with responsibilities for coordinating intelligence activities in the formulation and execution of American foreign policy. The volume fully meets the spirit and the letter of the October 1991 *Foreign Relations* statute. The declassification process of this volume and the microfiche supplement was not completed until July 1994. The preparation for publication of this volume, so unusual by *Foreign Relations* series standards, was not completed until the end of 1995.

Since the time this volume was compiled in 1991, Department of State historians have greatly expanded their access to other relevant bodies of records within the Department, in the Bureau of Intelligence and Research, at the Central Intelligence Agency, and in other agencies and commissions. There may be additional documents that might otherwise have been included had they been available before 1992. The editors decided, however, that the urgency of making this volume available to readers after nearly 10 years of preparation outweighed the possible omission of additional relevant information. Should such information become available during subsequent research, it will be included in future retrospective volumes on intelligence activities and foreign policy.

Sources for This Volume

The *Foreign Relations* statute requires that the published record in the *Foreign Relations* series include all records needed to provide comprehensive documentation on major foreign policy decisions and actions of the U.S. Government. It further requires that government agencies, departments, and other entities of the U.S. Government cooperate with the Department of State Historian by providing full and complete access to records pertinent to foreign policy decisions and actions and by providing copies of selected records. The editors believe that in terms of access this volume was prepared in accordance with the standards and mandates of this statute, although access to some records was restricted, as noted below.

The editors had complete access to all the retired records and papers of the Department of State: the central files of the Department; the special decentralized files ("lot files") of the Department at the bureau, office, and division levels; the files of the Department's Executive Secretariat, which contain the records of international conferences and high-level official visits, correspondence with foreign leaders by the President and Secretary of State, and memoranda of conversations between the President and Secretary of State and foreign officials.

The editors also had full access to the papers of Presidents Roosevelt and Truman and other White House foreign policy records. Presidential papers maintained and preserved at the Presidential libraries include some of the most significant foreign affairs-related documentation from other federal agencies including the National Security Council, the Central Intelligence Agency, the Department of Defense, and the Joint Chiefs of Staff. All of this documentation was made available for use in this and other volumes of the *Foreign Relations* series thanks to the consent of these agencies and the cooperation and support of the National Archives and Records Administration.

In preparing this volume, the editors reviewed records in a variety of archives and sources, many not usually researched for *Foreign Relations* volumes. The records of such bodies as the National Intelligence Authority, the Intelligence Advisory Board, and the Intelligence Advisory Committee provide fairly satisfactory documentation on policy and institutional issues in the early history of the intelligence system. At the same time, recorded discussion of substantive matters at this level of the national intelligence structure is rare. Perhaps the most satisfactory documentation in the collection is in the first chapter on the founding of the national intelligence structure in 1945–1946, where policy debates were well reflected in the records and where senior levels of government, including the White House, were actively involved.

Department of State records on intelligence are reasonably good for the critical period from September 1945 to April 1946. On the transition

from the Strategic Services Unit (SSU) to the Office of Special Operations (OSO), and in Latin America, from FBI to OSO, the material is relatively thin. The background of the intelligence provisions of the National Security Act of 1947 is fairly well documented at the outset but both the quality and the quantity of the material quickly diminishes. There are informative documents on the origins of NSC 4–A and 10/2, but the subsequent policy record is fragmentary. For the general history of U.S. intelligence under Directors of Central Intelligence Souers, Vandenberg, and Hillenkoetter the documentary record becomes increasingly abundant, but it also tends to become more bureaucratic and more formal without necessarily becoming more informative. Records for these periods give a generally satisfactory picture of the main issues but often have an impersonal character that tends to obscure the conflicts and concerns that frequently motivated the participants.

President Truman took a general interest in the formation of the intelligence system; thereafter he was satisfied that it was performing in a way that met his needs and was less involved. The Presidential and NSC documents used, although relatively few in terms of the total size of the collection, provide major insights into key periods and issues covered by the volume. The editors had full access to these materials at the National Archives and Records Administration and the Harry S. Truman Library, as well as to the records of the Department of State. The latter, especially the files of the Executive Secretariat and the Bureau of Intelligence and Research, were relevant to virtually every part of the collection but particularly to the early post-war debates over intelligence, the struggle over the intelligence organization of the Department of State, and the Dulles Report and its aftermath.

The Office of Management and Budget records in Record Group 51 at the National Archives provided much of the information on efforts of the Bureau of the Budget to shape the emerging national intelligence structure in 1945–1946. The best documentation on this subject is by an insider, Budget Director Harold Smith, whose diary entries (actually, memoranda of conversation) for the same period are in the Franklin D. Roosevelt Library. The Leahy files in Record Group 218 at the National Archives (Records of the Joint Chiefs of Staff) provided many of the early documents on the formative period of the intelligence system.

Central Intelligence Agency records constitute the largest single group of materials used in this compilation and require special description. Basically three separate collections of CIA records were used.

The first of these was the Troy Papers, in Record Group 263 (Records of the Central Intelligence Agency) of the National Archives and Records Administration. This collection was compiled by and declassified for Thomas Troy in connection with the preparation of his book, *Donovan and the CIA*, which was originally issued as a Central Intelligence Agency

publication. The Troy Papers consist mainly of copies of documents from various archival collections, bringing together material from a number of sources on the history of U.S. intelligence from the 1930s through the passage of the National Security Act of 1947 and the creation of the Central Intelligence Agency, including the most important and relevant military records. Practically all of these papers have been declassified and are freely available to researchers.

The second group of Central Intelligence Agency records consists of the historical collections located in and maintained by the CIA History Staff, Center for the Study of Intelligence. These collections consist of documents, some of them still classified, selected over time by personnel of the various components of CIA as having significant historical value and which have been transferred to the physical custody of the History Staff to ensure their continuing availability as part of the historical record. In some cases, it appears that individual parts of the collections were originally working or reference files maintained by personnel of various offices of the Agency. A number of the early records in these collections are typescript copies including many made for Arthur B. Darling, the first CIA Historian; these seem to be the only form in which a number of documents have survived. Documents in the historical collections tend to vary widely in nature and quality and usually provide only a partial record, but they nonetheless are a major resource and have been widely drawn upon in the preparation of this volume.

Members of the CIA History Staff selected materials from the historical collections for review by the compilers of this volume, who had unimpeded access to the records thus selected. Documents provided under this procedure remained classified and, if finally selected for publication, were then submitted for regular declassification review.

The third category of Central Intelligence Agency records used consists of archives held either by the Agency's records management organization or by individual organizational components of the Agency. In the preparation of this volume, the CIA History Staff gave the fullest cooperation to Department of State historians, not least by sharing its knowledge of the history of the U.S. Intelligence Community. CIA historians gathered records in other parts of the Agency that appeared relevant to the compilers' work. These records were first reviewed by appropriate CIA offices to determine whether the Department of State Historians' Office could have access to them. Once access was granted, copies of selected documents were made available. Copies received under this procedure remained classified and, if selected for publication, were submitted for declassification review. From the experience gained in the preparation of this volume, from discussions with CIA historians, and from references in the records themselves, it appears that Central

Intelligence Agency holdings of early Intelligence Community records are scattered and, in many instances, fragmentary or incomplete.

This volume is supported by a microfiche supplement that reproduces additional documents judged to be of less value but still relevant and useful. In a few cases the transmittal pages of documents in the print volume are included for completeness and clarity in the supplement. The microfiche supplement also contains the complete text of some documents that were judged too long for inclusion in full in the print volume, and from which only extracts were printed.

The CIA Center for the Study of Intelligence has also published its own facsimile volume, entitled *CIA Cold War Records: The CIA under Harry Truman* (edited by Michael Warner), which reproduces 81 documents covering 1945–1953. Twenty-five of these documents are included in the printed *Foreign Relations* volume or microfiche supplement.

Three books among the growing literature on intelligence published in recent years were particularly useful to the compilers as guides through the documentation. All were originally CIA internal documents that were sanitized and published and, although they were written from different points of view, they provide painstaking, detailed, and heavily documented reconstruction of the early history of the national intelligence system.

The first, Thomas Troy's *Donovan and the CIA*, contains the most comprehensive account available of the formation of the Central Intelligence Agency, from the wartime debates over intelligence to the signing of the National Security Act of 1947. The second, Arthur B. Darling's *The Central Intelligence Agency: An Instrument of Government, to 1950*, is a published version of an internal history written by the CIA's first historian in 1952–1953. And the third, Ludwell Montague's *General Walter Bedell Smith as Director of Central Intelligence, October 1950–February 1953*, originally a 5-volume classified CIA study with the same title, deals mainly with events beyond the period covered by this volume. Montague's work is valuable both because he was a participant in, as well as an observer of, many of the events of which he writes and because he supplemented his own recollections by research in the records and by extensive interviews and correspondence. Montague regarded his work as a corrective to Darling's history which, in Montague's view, incorporated a number of judgments that were a "distortion" of the early period of CIA's history.

The List of Sources, pages XVII–XIX, lists the particular files and collections consulted and cited in this volume.

Editorial Methodology

The documents are presented chronologically according to Washington time or, in the case of conferences, in the order of individual meet-

ings. Memoranda of conversation are placed according to the time and date of the conversation, rather than the date the memorandum was drafted.

Editorial treatment of the documents published in the *Foreign Relations* series follows Office style guidelines, supplemented by guidance from the General Editor and the chief technical editor. The source text is reproduced as exactly as possible, including marginalia or other notations, which are described in the footnotes. Texts are transcribed and printed according to accepted conventions for the publication of historical documents within the limitations of modern typography. A heading has been supplied by the editors for each document included in the volume. Spelling, capitalization, and punctuation are retained as found in the source text, except that obvious typographical errors are silently corrected. Other mistakes and omissions in the source text are corrected by bracketed insertions: a correction is set in italic type; an addition in roman type. Words or phrases underlined in the source text are printed in italics. Abbreviations and contractions are preserved as found in the source text, and a list of abbreviations is included in the front matter of each volume.

Bracketed insertions are also used to indicate omitted text that deals with an unrelated subject (in roman type) or that remains classified after declassification review (in italic type). The amount of material not declassified has been noted by indicating the number of lines or pages of source text that were omitted. Entire documents withheld for security reasons have been accounted for and are listed by headings, source notes, and number of pages not declassified in their chronological place. The amount of material omitted from this volume because it was unrelated to the subject of the volume, however, has not been delineated. All brackets that appear in the source text are so identified by footnotes.

An unnumbered source note to each document indicates the document's source, original classification, distribution, and drafting information. This note also provides the background of important documents and policies and indicates if the President or his major policy advisers read the document. Every effort has been made to determine if a document has been previously published, and this information has been included in the source footnote.

Additional footnotes summarize pertinent material not printed in the volume, indicate the location of additional documentary sources, provide references to important related documents printed in other volumes, describe key events, and provide summaries of and citations to public statements that supplement and elucidate the printed documents. Information derived from memoirs and other first-hand accounts have been used when appropriate to supplement or explicate the official record.

Advisory Committee on Historical Diplomatic Documentation

The Advisory Committee on Historical Diplomatic Documentation, established under the *Foreign Relations* statute, reviews records, advises, and makes recommendations concerning the *Foreign Relations* series. The Advisory Committee monitors the overall compilation and editorial process of the series and advises on all aspects of the preparation and declassification of the series. Although the Advisory Committee does not attempt to review the contents of individual volumes in the series, it does monitor the overall process and makes recommendations on particular problems that come to its attention.

Declassification Review

The final declassification review of this volume, completed in 1994, resulted in the decision to withhold 2.24 percent of the documentation selected for the print volume, including 7 documents denied in full. In the microfiche supplement 2.61 percent of the documentation selected was withheld, including 5 documents denied in full. The remaining documents provide an account of the origin and development of the U.S. foreign intelligence structure during 1945–1950.

The Division of Historical Documents Review of the Office of Freedom of Information, Privacy, and Classification Review, Bureau of Administration, Department of State, conducted the declassification review of the documents published in this volume. The review was conducted in accordance with the standards set forth in Executive Order 12356 on National Security Information, which was superseded by Executive Order 12958 on April 20, 1995, and applicable laws.

Under Executive Order 12356, information that concerns one or more of the following categories, and the disclosure of which reasonably could be expected to cause damage to the national security, requires classification:

1) military plans, weapons, or operations;
2) the vulnerabilities or capabilities of systems, installations, projects, or plans relating to the national security;
3) foreign government information;
4) intelligence activities (including special activities), or intelligence sources or methods;
5) foreign relations or foreign activities of the United States;
6) scientific, technological, or economic matters relating to national security;
7) U.S. Government programs for safeguarding nuclear materials or facilities;
8) cryptology; or
9) a confidential source.

The principle guiding declassification review is to release all information, subject only to the current requirements of national security as embodied in law and regulation. Declassification decisions entailed concurrence of the appropriate geographic and functional bureaus in the

Department of State, other concerned agencies of the U.S. Government, and the appropriate foreign governments regarding specific documents of those governments.

Acknowledgements

The editors wish to acknowledge the assistance of officials at the Franklin D. Roosevelt and Harry S. Truman Libraries, the National Archives and Records Administration, and other specialized repositories that assisted in the collection of documents for this volume. J. Kenneth McDonald, former Chief Historian of the Central Intelligence Agency, and Mary McAuliffe, former CIA Deputy Chief Historian, provided valuable assistance in arranging access to that agency's materials.

Neal H. Petersen made the initial collection of documents, which was later expanded by Edward C. Keefer and William Deary. C. Thomas Thorne, Jr., wrote the narrative introductions to each chapter. Thorne also selected and edited the material presented in this volume with the guidance of former General Editors John P. Glennon and Glenn W. LaFantasie. Thorne planned the volume, and David S. Patterson conducted a comprehensive final review. Vicki E. Futscher prepared the lists of sources, persons, and abbreviations, and she, Rita Baker, and Deb Godfrey did the copy and technical editing. Barbara-Ann Bacon of the Publishing Services Division oversaw the production of the volume. Do Mi Stauber prepared the index.

William Z. Slany
The Historian
Bureau of Public Affairs

May 1996

working boys and let them draw something up. Maybe we can get it through, and maybe not. I don't see any harm, do you?

Dr. Colby: I agree completely that we move in that direction.

Director: That is from the civilian standpoint.

Mr. Armstrong: Do we still have in force that directive of the testifying before Congressional Committees?

Director: Yes, each department head can give his orders like that. The Attorney General rules on that. Each department head can forbid it; we took that up and the Attorney General said that worked for each department head, he didn't have to testify.

Adm. Inglis: It wasn't necessary to have a Security Council directive, but haven't got a department.

Director: The Congress can call on that department head and he doesn't have to testify, but as far as CIA's head is concerned, he would have to stand and go to jail. Dr. Colby will be the same way.

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356. Verbatim Minutes of Meeting of the Intelligence Advisory Committee

Washington, December 17, 1948, 2:30 p.m.

PARTICIPANTS

Rear Admiral R.H. Hillenkoetter, Director of Central Intelligence, in the chair

Members Present

Mr. W. Park Armstrong, Special Assistant to the Secretary of State for Research and Intelligence
Major General Stafford L. Irwin, Director, General Staff, United States Army
Rear Admiral Thomas B. Inglis, Chief of Naval Intelligence
Major General Charles P. Cabell, Director of Intelligence, Office of Deputy Chief of Staff, Operations, United States Air Force
Dr. Walter F. Colby, Director of Intelligence, Atomic Energy Commission
Colonel Wendell G. Johnson, acting for Deputy Director, Joint Intelligence Group, JCS

Also Present

Mr. Prescott Childs, Central Intelligence Agency
Colonel Merritt B. Booth, USA(R), Department of State
Lieut. Col. Edgar J. Treacy, Department of the Army

Source: Central Intelligence Agency Historical Files, HS/HC-657. Secret. The meeting was held in the Federal Works Building.

Captain John M. Ocker, USN, Department of the Navy
Major W.C. Baird, Department of Air
Mr. William C. Trueheart, Atomic Energy Commission
Mr. Shane MacCarthy, Central Intelligence Agency
Colonel Charles C. Blakeney, Central Intelligence Agency
Mr. Fisher Howe, Department of State
Lieut. Col. James H. Skinner, Department of the Army
Lieut. Col. C.J. Stattler, Department of Air

Director: We do not have any formal things to take up. ICAPS is moving Monday up to the Administration Building and I am moving the following Monday. The telephone numbers will be the same. What is the status of the Scientific Attaché paper?[1]

Mr. Childs: It is going to the Security Council saying it has been reconsidered by the IAC and their staffs and the Research and Development Board and the Office of the Secretary of Defense. The other one has been withdrawn and the new proposal is enclosed.

Adm. Inglis: Does the R&D Board and Secretary Forrestal's Offices accept the changes?

Mr. Childs: As far as we know. They do not rate a formal voting slip from this group.

Col. Johnson: I saw Mr. Beckler yesterday and I asked him about it and he said they were going to. There were minor changes.

Director: Dr. Hafstad told me the same thing for the Research and Development Board. That should take care of Mr. Forrestal's objections. Do we have anything else to bring up? Do you have anything, Park?

Mr. Armstrong: I haven't anything very pressing. You might allude to the incorrect impression, I might call it, that the Department of Justice may have created about the Department of State's position on the question of defectors in this country, when they sent around a memo[2] to the Service Agencies saying the Department of State had seen and concurred in the proposal they presented. We have circulated to each of the agencies a copy of our correspondence to Justice on the subject and I hope that serves to correct the misunderstanding because we had never concurred in the proposal. That leaves me to wonder whether this Committee might discuss the question of refugees and defectors of all kinds as intelligence targets. I know this is a matter that the Army is concerned with and General Bolling has given his attention to it. I know it is in the hands of a working group under Kirkpatrick of your Office with representatives from each of the offices, including Justice Department. We have been speculating, or wondering, in our shop, as to whether that isn't a problem that has the natural factors that would perhaps make it worth-

[1] See footnotes 1 and 2, Document 355.
[2] Not found.

while to consider reviving the SANACC 395 Committee,[3] since it has already dealt with some phases of that particular series of questions. We don't have any question at all as to the working committee that is at present engaged on it, but wonder whether they are bringing into play all of the experience and considerations that developed during the SANACC 395 sessions; whether the membership of the present committee, at the working level, should not include for its purposes some of the members of the SANACC Committee which I don't believe at present is the case. I have raised this question to see if anyone here wants to discuss it. If the feeling is that it should go on under the present group, that is entirely agreeable to us, but we feel that the problem is an urgent one requiring an early solution and that it is a very broad one and would like to see the greatest possible talent put to work on it.

Gen. Irwin: Is that the Committee General Bolling is on?

Mr. Armstrong: I think it is Mr. Todd of your organization.

Col. Treacy: That is right, and Lieut. Col. Edwin L. Clark is on the other.

Gen. Irwin: Is that about the questioning? That is an important one.

Mr. Armstrong: It is very important. It is not only a domestic problem of getting proper intelligence handling for foreign intelligence out of the defectors in this country, but it has been broadened to include the related problem of defectors abroad and refugees.

Director: I saw Kirkpatrick and the two FBI people and they claim they are practically finished with a solution everybody is agreed to, including the FBI. I think you had better wait to see that and if we don't like that, refer it to the SANACC 395 Committee.

Mr. Armstrong: It is perfectly agreeable with me and it is not a reflection of the working committee, but to raise the question whether all past experience has been brought to bear on it.

Director: This tentative thing looks like it ought to be all right.

Mr. Armstrong: On the domestic only or also considering the foreign?

Director: The foreign too.

Adm. Inglis: Who is my man on that?

Director: You have one, but I don't know who.

Adm. Inglis: Was the 395 series that on broad civil defense?

Mr. Armstrong: The refugees, displaced persons, and bringing in the Voice of America.

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[3] SANACC 395 was a designation for papers on Soviet refugees prepared by a working group of the State–Army–Navy–Air Force Coordinating Committee.

Director: This committee is so close to an answer we will see what they have before we drag in someone entirely new on it.

Mr. Armstrong: It is entirely agreeable to me.

Director: They ought to get the answer within a week or two unless Christmas interferes and we will get it after Christmas. Tommy, do you have anything?

Adm. Inglis: I don't know whether anyone wants to discuss the intelligence about China or not, but it is of interest to us. We have seen General Barr's (Chief JUSMAG) estimate of the situation in China and we are inclined to agree with that, but I would be reassured if I felt that the other members of the Committee had the same appraisal of his estimate. Have you seen that?

Mr. Armstrong: I don't recognize it by that name.

Adm. Inglis: The gist of it is they think that the situation north of the Yangtze is hopeless and is just a matter of days or weeks before the whole thing folds up. What happens after that, of course, is a matter of terrible concern and conjecture. Do you feel that this Li that is Vice President is going to be successful in forming some kind of a coalition cabinet and if so just how much Communist influence will be exerted in that? My people say they have checked on the working level with Army, State and the rest and they say that they believe he will be successful and in the beginning the Communists will be in the minor position, but as time goes on will it grow as it did in Czechoslovakia.

Gen. Irwin: I am not particularly briefed on the problem, but from what you said I don't think you would find a disagreement.

Gen. Cabell: I don't think you will find a disagreement among us, except I personally am confident that Li will do that.

Adm. Inglis: We question that very closely. Do you think the Communists would be satisfied with what followed down from the Chiang regime? It might be the Communists would feel it to their advantage to set up a coalition Government because it would give them a certain prestige in international trade with the USA.

Director: I think our people got the same answer. They said the Communists would come into the government because they would be a recognized government in the United Nations and, as a purely personal thing, that the United States and the West could supply them with articles of trade that they couldn't possibly get from Russia. They would want that for a while.

Adm. Inglis: The United States would be hard pressed for an excuse not to recognize it.

Gen. Irwin: You think the reason is they would not dominate with ease?

Director: I think they could. The opinion our people got from Barr's report is that they are not going to force the issue now. Maybe in six months.

Mr. Armstrong: We can gain much more by moving slowly.

Adm. Inglis: Do you have any ideas on that?

Gen. Irwin: No. I think we could accept the Communists taking all to the North of the Yangtze, but I doubt whether they go South for some time.

Adm. Inglis: For some time?

Mr. Armstrong: Although they have the capability?

Gen. Irwin: Yes.

Adm. Inglis: One thing that puzzles us is the superiority and the strategic direction of the Chinese Communists and their ability to support themselves logistically and in communications. It just doesn't seem Chinese.

Gen. Irwin: I don't think it is.

Adm. Inglis: We wonder where the beans and bullets are coming from.

Director: I think a lot of that strategic direction is—the fact that they look so good—because they do not have any good fast opposition against them. But it does not explain the beans and bullets; probably the captured U.S. things that were turned over to the Nationalists. Perhaps you can justify the strategic direction by some Russian influence, but even so they would have to work through a lot of Chinese then. The thing certainly has me stopped.

Gen. Irwin: They must have good communications. There was a report that I saw today that said they were running rather low on supplies and that their morale was low.

Adm. Inglis: My people didn't believe that particular report because it was in conflict with other reports.

Gen. Irwin: The Nationalists don't have the will to fight.

Adm. Inglis: And another thing, turning our attention to the condition in Formosa. Does anyone know a strong man in Formosa who we would do well to back instead of carpet baggers from China or Chiang Kai-shek.

Gen. Irwin: Didn't we have a report that the Formosans were very bitter against any movement of the Chinese? Someone must have fronted for them.

Adm. Inglis: Park, do you know of any Formosan who is capable of leadership?

Mr. Armstrong: No, the Formosans are quite leaderless.

Director: There was a name on this Formosan People's Political Committee. That report said they didn't want the Chinese there and inti-

mated they might like the United States to come in and take over those people. They seem to have the thing in hand. But I don't remember the name.

Adm. Inglis: You think you have some information?

Director: Yes. One thing I do remember is that this outfit, the Communists, did start some kind of violence and they put it down with a very heavy hand. It did not go to the grand jury, they just cut off their heads. It is the same outfit that wanted a free and independent Formosa under the United States. I know we have something on that.

Gen. Cabell: That would indicate some kind of strong leadership—that quick and positive degree of action.

Mr. Armstrong: Wasn't that the Chinese Government?

Adm. Inglis: They assassinated the first person that came over.

Mr. Armstrong: The second one was run out.

Adm. Inglis: He wasn't quite as brutal as the first one. He came over with a group of soldiers.

Gen. Irwin: There was some discussion about shipments to China, of diverting one to Formosa. That would head it up and put the stuff in the hands of the Chinese. Maybe we decided to do it for the benefit of the Chinese.

Adm. Inglis: That has been suspended for the time being.

Gen. Irwin: It was discussed.

Mr. Armstrong: Has the Chinese Navy moved over there yet?

Adm. Inglis: Some have moved over from Tsingtao and the naval training school is to go to Amoy. We had a report that the move was now in progress, but there was no indication of how long it would take.

Gen. Irwin: I wonder whether Chiang has surrendered yet?

Director: He hadn't yesterday afternoon and when we got our message from there this morning.

Adm. Inglis: I had one other thing that has no connection with China. I guess the newspapers last night and this morning have been full of the Eberstadt subcommittee's report. And another thing he mentioned was the lack of medical intelligence. We had a paper which was prepared currently by an ad hoc committee of the three Surgeons General of the Army, Navy, and Air Force that they had some idea of setting up a medical intelligence agency in the Armed Services separate from the present departmental agencies. We didn't think much of that idea. I think it was stopped, but I was wondering if CIA was going to interest itself in medical intelligence.

Director: It has been under way since about the 10th. The new head of our Scientific Branch, Dr. Machle, has talked about that to some of the people in the Medical Corps in the Army and Navy. I don't know

whether it was Swanson or not. We got him through Dr. Compton and he talked to him about it—medical intelligence, BW intelligence and I think he will get around to that as soon as he gets settled down. Public Health is in on this too.

Adm. Inglis: I hope you will include the agencies which are represented by the members of the body here in the spade work. We didn't know anything about this until we got this big thing. It was about cooked and ready to go.

Director: He would do that because he knows Henderson and some of those people that were working on it.

Gen. Cabell: I understand these medical people prepared it. My people are not very much in favor of it. The idea was suggested by somebody and it just grew to some length. We could see no sense to it.

Adm. Inglis: A great deal of unnecessary work could have been saved if they had just had a ten minute talk between the three of us respectively and those who produced this tremendous tome.

Gen. Irwin: You are currently getting medical intelligence from your medical people?

Adm. Inglis: Yes. Apparently they are unhappy about the quantity and the quality. I don't know that they are unhappy, but I inferred they were unhappy or they wouldn't have taken 400 pages to recommend something else.

Mr. Armstrong: The Foreign Service is a regular contributor to medical intelligence and is supposed to make an annual report on health and sanitation on its territories. Every foreign post has to send in quarterly reports on health, sanitation, diseases, and living conditions.

Gen. Irwin: We have medical and technical attachés. Speaking about the Eberstadt Committee statement, I don't know what backs that statement. I have heard no growls about our medical intelligence.

Adm. Inglis: I hadn't either until this paper confronted me. I have had some growls from the medicos on the Doctor over in Moscow. That is purely a personal affair.

Gen. Cabell: My medicos didn't feel sufficiently strong on it when we non-concurred in it to come around and talk about it.

Adm. Inglis: That is all I had.

Director: Doctor Colby?

Dr. Colby: No.

Director: General Cabell?

Gen. Cabell: No.

Director: Colonel Johnson?

Col. Johnson: No.

Director: General Irwin?

Gen. Irwin: We are getting out a good deal of political stuff in our Weekly magazine. Things we think CIA or State Department ought to put out. A weekly for general theaters and things like that. Do you put any out?

Director: No.

Mr. Armstrong: We don't either.

Gen. Irwin: It seems to me we are a little out of our field. If we could get the material—I don't know how you would feel if that field were taken over by either State or CIA and we could confine ourselves to military intelligence. I know we are getting out a very expensive weekly digest which is not cultural reading and not enough intelligence in my opinion.

Mr. Armstrong: Is it classified?

Gen. Irwin: Yes, secret.

Director: Ours is secret.

Gen. Cabell: I wonder if we don't have to put out such a publication. We put out one monthly which started within the last four months. We don't produce the basic material, we go to the CIA publications and take some from yours (to DCI) and some from yours (to D/I, Army) but we try to tailor it to fit the recipient.

Gen. Irwin: I thought the Admiral would pay for it and we would buy him off.

Director: How many copies have you got?

Gen. Irwin: I will have to look that up.

Adm. Inglis: It seems to me that is a job for ICAPS. I have often wondered why ICAPS didn't interest itself in more things of that kind.

Mr. Armstrong: I think it is a very important question.

Director: You let me know how many copies and we will see.

Col. Blakeney: Between 600 and 700 a week are put out.

Gen. Irwin: At about $1.50 a piece.

Director: It is on slick paper.

Gen. Cabell: Might we not do this—standardize a monthly publication and look to CIA to prepare section (a) of our respective publications so that in other words it would be a custom-built job for them for this purpose then we put in our section (b), or whatever section we had, for that publication?

Adm. Inglis: There are two things you have to worry about. One is the departmental intelligence, the other is the classification. We have a sufficient variety of publications to meet both of those requirements. It is rather complicated.

Gen. Cabell: We couldn't turn over the job for preparing it. We still have a message to get across to our recipients.

Gen. Irwin: So have we.

Gen. Cabell: We could do it on a monthly basis and it would save us work and we could lean upon you (CIA) to prepare a certain section.

Adm. Inglis: Or perhaps have CIA put out a basic publication and each department come out with its own publication or call particular attention to that which is of general interest to all the departments.

Mr. Armstrong: Would that mean CIA would be putting out the political and economic, and sociological? That is in the bailiwick of the Department of State.

Adm. Inglis: I again say this is a job for ICAPS, we can't settle the details.

Gen. Irwin: Then State would be the best person to put that out.

Adm. Inglis: If State wants to give us the dope through CIA at $1.50 a piece for 700 copies.

Mr. Armstrong: I am interested in getting at a method to solve this. It would cure one problem we have of overlap between CIA and ourselves, and we haven't readily grappled with the problem yet. I would like to suggest that the Director assign that to ICAPS or any appropriate committee for study.

Director: It is assigned to ICAPS.

Gen. Irwin: It has a particular interest to our attachés and would be of interest if they got the State Department's material as the basis.

Adm. Inglis: I don't think our people, that is, the commanding officers of ships, and our naval attachés, the customers, are getting the information they would like to have and should have under the subjects that are State Department stuff.

Mr. Armstrong: We are not getting out a journal of any kind that can be distributed beyond the departmental borders.

Adm. Inglis: I think there is a little gap there which we try to fill in a very amateurish way, but it also seems to me that the material that CIA puts out should supply several different needs. The Top Secret business as it is now, it is all right, but the distribution is so limited that its usefulness is impaired. The Top Secret goes to 20 people, maybe 30. Another set of customers may include 200 people and maybe another set of customers 2,000 people. Adopt the classification for the size of the body. There seems to be a lack in the publications which is useful to a wider distribution.

Gen. Irwin: I would like something with this political section and then the military section.

Director: ICAPS, you have a job. You get that out every week?

Gen. Irwin: It is a weekly. It is a pretty expensive operation and for that they should get more. It ought to be the best we can furnish.

Mr. Childs: The Navy has a weekly too?

Adm. Inglis: We have a daily, weekly, and monthly. They are several different classifications.

Mr. Childs: I mean a similar publication to that.

Adm. Inglis: No, the only slick paper publication we get out is monthly and classified confidential.

Director: Well, we can go into that and see what we can do.

Adm. Inglis: We also get out a quarterly classified restricted for reserve officers on inactive duty. That is a quarterly.

Director: You get one out monthly?

Gen. Cabell: Yes.

Col. Treacy: Ours is the only one for distribution outside of the Division.

Gen. Cabell: It is pretty ambitious to have that weekly, isn't it?

Gen. Irwin: By the time it is distributed and all it is a little on the cold side. Therefore, I would like to put more basic material in and the military items in it that are of interest to field people.

Mr. Childs: You would rather stick to the weekly?

Gen. Irwin: I would rather go into it more.

Director: A weekly comes around very quickly.

Adm. Inglis: We get out one, a dispatch, and I think you do too; and we get out a weekly mimeograph sheet of about eight pages.

Director: When you try to fill it up for the weekly you have to start padding.

Gen. Irwin: It could be cut back to monthly and have it mimeographed. It would be cheaper with the cooperation of State and so it could be more or less uniform on the State Department material.

Adm. Inglis: That sounds as though it is just what we are looking for.

Director: I think it should work out because in some of these you can see the boys have to fill out on some of it. You can't help it when you do a weekly.

Gen. Irwin: I was a customer of this before I came here.

Director: We will go into that and see if we can't do something about it.

Mr. Childs: There are several State publications.

Mr. Armstrong: We put out a weekly summary that is SECRET level, but is distributed only in the Department and to Ambassadors. Now, it is entirely possible that a lot of that material can be written more as an operational summary. It is entirely possible that a lot of that material can be readily adopted to be used by the Services. I am very anxious and glad to look into this.

Director: I think it would be a good idea to do it. Any other subjects?

Mr. Childs: The attachés see that which goes out to the field.

Mr. Armstrong: They probably do.

Mr. Childs: That which goes to the embassies.

Col. Johnson: They do some places.

Director: They do most places.

Mr. Armstrong: It depends on the Ambassador.

Gen. Irwin: They really should see them, shouldn't they? It would be a means of getting the information into their hands.

Director: Anybody have anything else? I wish you all a Merry Christmas and a Happy New Year, and we will see you after the first of the year.

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357. Letter From the Executive Secretary of the Intelligence Survey Group (Blum) to Mathias F. Correa

Washington, December 18, 1948.

DEAR MAT: This is merely to tell you that twenty copies of the Survey Group Report were delivered to Mr. Souers this afternoon.[1] I spoke with him yesterday to ask him whether he had decided how to handle the report. He said that he had not yet done so, as he wanted first to see what the report looked like.

I have not yet shown the report to the Secretary,[2] but will do so shortly. I am sure that the question which still preoccupies him is that of "the man."[3] In this connection, Souers said yesterday that in his conversations with the President, he (Souers) was taking the position that no move should be made for a change until a suitable successor had been found.

The report seems to be in good shape and I will keep my ears close to the ground awaiting reactions.

Sincerely yours,

Bob

Source: Central Intelligence Agency Records, Job 86-B00269R, Box 5. No classification marking. The source text is dated December 18, 1949, but from the context this is clearly a typographical error.

[1] Presumably these were advance copies. The report as finally issued is dated January 1, 1949, on the cover sheet and included a formal letter of transmittal to the NSC dated January 15, 1949. See the source note, Document 356.

[2] Secretary of Defense Forrestal.

[3] Director of Central Intelligence, Admiral Hillenkoetter.